IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-2

CA (CAA) No. 40/230/232/ND/2023

IN THE MATTER OF:

ARL Trading Pvt. Ltd. And Basudha Conbuild Pvt. Ltd. **....Applicant**

SECTION

U/s 230-232 **Order delivered on 26.07.2023**

CORAM:
SHRI MAHENDRA KHANDELWAL,
HON'BLE MEMBER (JUDICIAL)

SHRI RAHUL BHATNAGAR,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open Court vide separate sheets. CA (CAA) No. 40/230/232/2023 (1st Motion) is **allowed.**

Sd/-
(RAHUL BHATNAGAR)
MEMBER (T)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (J)

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

COURT NO. V, NEW DELHI

CA (CAA) No. - 40/(ND)/2023

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

ARL TRADING PRIVATE LIMITED
(Applicant Company-1 /Transferor Company)

AND

BASUDHA CONBUILD PRIVATE LIMITED
(Applicant Company-2/Transferee Company)

CORAM:

SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

SHRI RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

Order Delivered on: 26.07.2023

MEMO OF PARTIES

ARL TRADING PRIVATE LIMITED

Registered Office at: Flat No. 412, Naurang House, 21, K.G. Marg, New Delhi-110001 **...Transferor Company/Applicant Company-1**

BASUDHA CONBUILD PRIVATE LIMITED

Registered office at: B-68B, IInd Floor, Nanhey Park, B Block, Matiala, West Delhi, Delhi-110059 **...Transferee Company/Applicant Company-2**

PRESENT:

For the Applicant: Mr. Manoj Kumar

For the Respondent:

O R D E R

PER: MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)

1. This is joint application filed by the applicant companies herein, **M/S ARL Trading Private Limited** (for brevity "Transferor Company") into **Basudha Conbuild Private Limited** (for brevity "Transferee Company") under Section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement in the nature of amalgamation (hereinafter referred to as the "SCHEME") proposed between the applicants.

2. The Applicant Company No. 1/Transferor Company, ARL Trading Private Limited (CIN- U67120DL2005PTC143941) was incorporated under the provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 22.12.2005 having its registered office at Flat No. 412, Naurang House, 21, K.G. Marg, New Delhi-110001. The Authorized Share Capital of the Transferor Company is Rs. 19,26,00,000/- divided into 1,74,20,000 Equity Shares of Rs. 10/- each and 18,40,000 Preference Share of Rs. 10 each. The present issued, subscribed and paid-up share capital of the Applicant Company No. 1/Transferor Company is Rs. 17,41,62,660/- divided into 1,74,16,266 Equity Shares of Rs. 10/- each. The Applicant Company No.1/Transferor Company, vide their meeting of the Board of Directors held on 03.01.2023 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said

resolutions passed in the said board meetings have been placed on record. Affidavit in support of the above application sworn by Mr. Krishan Kumar Aggarwal being the authorized signatory of the Applicant Company 1, who has been authorized vide Board Resolution dated 03.01.2023 for the Transferor Company No. 1, was duly filed, along with the application. It was also represented that the registered office of the Applicant Company 1 is under the domain of Registrar of Companies, NCT of New Delhi & Haryana and therefore within the territorial jurisdiction of this Tribunal.

3. The Applicant Company No. 2/Transferee Company Basudha Conbuild Private Limited is a private limited company incorporated under the provisions of Companies Act, 1956, vide Certificate of Incorporation dated 03.05.2011 (CIN-U45204DL2011PTC218444) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office at B-68B, IInd Floor, Nanhey Park, B Block Matiala, West Delhi, Delhi-110059. The Authorized Share Capital of the Transferee Company is Rs. 9,00,000/- divided into 80,000 Equity shares of Rs. 10/- each and 10,000 Preference Shares of Rs. 10 each. The present issued, subscribed and paid-up share capital of the Applicant Company No. 2/Transferee Company is Rs. 7,95,560/- divided into 74,151 Equity Shares of Rs.10/- each and 54,050 divided into 5,405 Preference Shares of Rs. 10 each. The Applicant Company No. 2/Transferee Company, vide their meeting of the Board of Directors held on 02.01.2023 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record. Affidavit in support of the above application sworn by Mr. Harsh Kumar being the authorized signatory of the Applicant Company 2, who has been authorized vide Board Resolutions dated 02.01.2023 for the Transferee Company, was duly filed, along with the application. It was also represented that the registered office of the Applicant Company 2 is under the domain of

Registrar of Companies, NCT of New Delhi & Haryana and therefore within the territorial jurisdiction of this Tribunal.

4. The Transferor Company as well as the Transferee Company have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses, as well as their last Audited Annual Accounts for the Financial Year 31.03.2022.

5. It has been stated that the Applicant Company-1/Transferor Company has 25 Shareholders. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Applicant Company-1 has nil Secured Creditor and nil Unsecured Creditors. Certificate from Chartered Accountants certifying that the Transferor Company has neither Secured Creditor nor Unsecured Creditor was annexed thereto. They seek to dispense with the meeting of Shareholder in view of the consent affidavit placed by them. Since the Company has nil Secured Creditor and nil Unsecured Creditor, therefore the necessity of convening/holding a meeting does not arise.

6. It has been stated that the Applicant Company-2/Transferee Company has 2 Equity Shareholders and 1 Preference Shareholder. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Company has nil Secured and nil Unsecured Creditor. Certificate from Chartered Accountants certifying that the Transferee Company has neither Secured Creditor nor Unsecured Creditor was annexed thereto. In relation to the Shareholders, it seeks dispensing with holding/convening of the meetings as their consent affidavits were placed on record. Since the Company has nil Secured Creditors and nil Unsecured

Creditors, therefore, the necessity of convening/holding a meeting does not arise.

7. The appointed date as specified in the Scheme is 01.04.2022 or such other date as prescribed by this Tribunal.

8. The Applicant Companies confirmed that the provisions relating to the accounting treatment for the proposed merger, as contained in the Scheme, were in conformity with the applicable provisions of the Companies Act, 2013. Certificates from respective Statutory Auditors of the Companies on the accounting treatment, as proposed in the Scheme, were annexed to the application and it is clearly stated that the Accounting treatment is in conformity with the applicable prescribed under Section 133 of Companies Act, 2013.

9. The Applicant Companies have stated that no proceedings for inspection, inquiry or investigation were pending against any of the Applicant Companies.

10. Taking into consideration the submissions and the documents filed therewith, the following directions are issued with respect to convening/holding or dispensing with the meetings of the Shareholders, Secured and Unsecured Creditors as well as issue of notices including by way of paper publication as follows:

A. <u>In relation to the Applicant Company-1:</u>

a) **With respect to Equity shareholders:** In view of consent affidavits from 25 equity shareholders, having 100% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

c) **With respect to Unsecured Creditors:** There are nil Unsecured Creditor, therefore the necessity of convening a meeting does not arise.

B. <u>In relation to Applicant Company-2:</u>

a) **With respect to shareholders:** In view of consent affidavits, from 2 Equity Shareholders and 1 Preference Shareholder, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

c) **With respect to Unsecured Creditors:** There are nil Unsecured Creditor, therefore the necessity of convening a meeting does not arise.

11. Notice of this application shall be served on the following:

i. Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

ii. Registrar of Companies at 4th floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

iii. The Official Liquidator attached to Delhi High Court;

iv. Income Tax Department, Income Tax Office, Additional Commissioner of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose sufficient details like PAN, ward numbers and assessing officers so that timely and proper reply may be filed.

v. Any other sectoral regulators required to be served.

The application stands allowed on the aforesaid term and disposed of.

Sd/-
(RAHUL BHATNAGAR)
MEMBER (TECHNICAL)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (JUDICIAL)